

Strategic alignment

06

CHAPTER OBJECTIVES

Strategic alignment, also known as strategic integration or fit, is a fundamental concept of strategic human resource management. It is examined in this chapter under the following headings:

- 1 The nature of strategic alignment
- 2 Vertical integration
- 3 Horizontal integration
- 4 Perspectives strategic alignment
- 5 Best fit or best practice?
- 6 Practical implications

The nature of strategic alignment

Strategic alignment is about the integration of HR strategy with the business or corporate strategy (vertical integration or fit), and the integration of individual HR strategies with one another (horizontal integration or fit). Strategic alignment involves choice on the approach to the adoption of particular strategies. There are a number of perspectives which affect that choice and these lead to the debate on the extent to which it should be determined by the circumstances of the organization ('best fit') or should follow generally accepted views on what are the most effective approaches ('best practice').

Vertical integration

Vertical integration or fit refers to the degree to which HR strategies are consistent with the business or corporate strategy and support its achievement.

It means that HR strategy will be most effective as a means of contributing to organizational success if it addresses the key people issues that influence that success.

The CIPD (2023: 1) noted that individual HR strategies may be shaped by the business strategy, but that: ‘It’s too simplistic to suggest that strategic HRM simply follows on from business strategy – the two must inform one another. The way in which people are managed, motivated and deployed, and the availability of skills and knowledge, should all shape the business strategy.’

Models of vertical integration

Three models of vertical integration exist:

- *Competitive strategies model* – HR strategy should match the preferred strategy of the firm in seeking sustainable competitive advantage. Porter (1985) listed the drivers of competitive advantage as innovation, quality and cost leadership.
- *Life-cycle model* – as the organization changes through the four stages of start-up, growth, maturity and decline, HR strategy must change to meet its needs (Baird and Meshoulam, 1988).
- *Strategic configuration model* – HR strategy should match one of the three types of organization as defined by Miles and Snow (1978): prospectors, defenders and analysers.

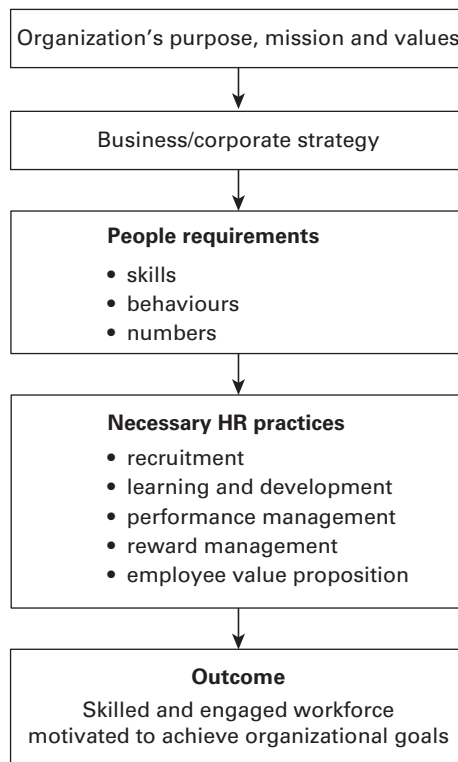
Achieving vertical fit

Guidance on the approach to achieving vertical fit is provided by each of these models. They influence the sequence of actions required as shown in Figure 6.1.

The specific HR areas that can be developed to support the achievement of the business strategy and business drivers are shown in Figure 6.2.

A framework for integration was proposed by Schuler and Jackson (1987). This identified the ‘employee role behaviours’ required to achieve competitive advantage and the competitive strategies prescribed by Michael Porter (1985) of innovation, quality enhancement and cost leadership. The behaviours included:

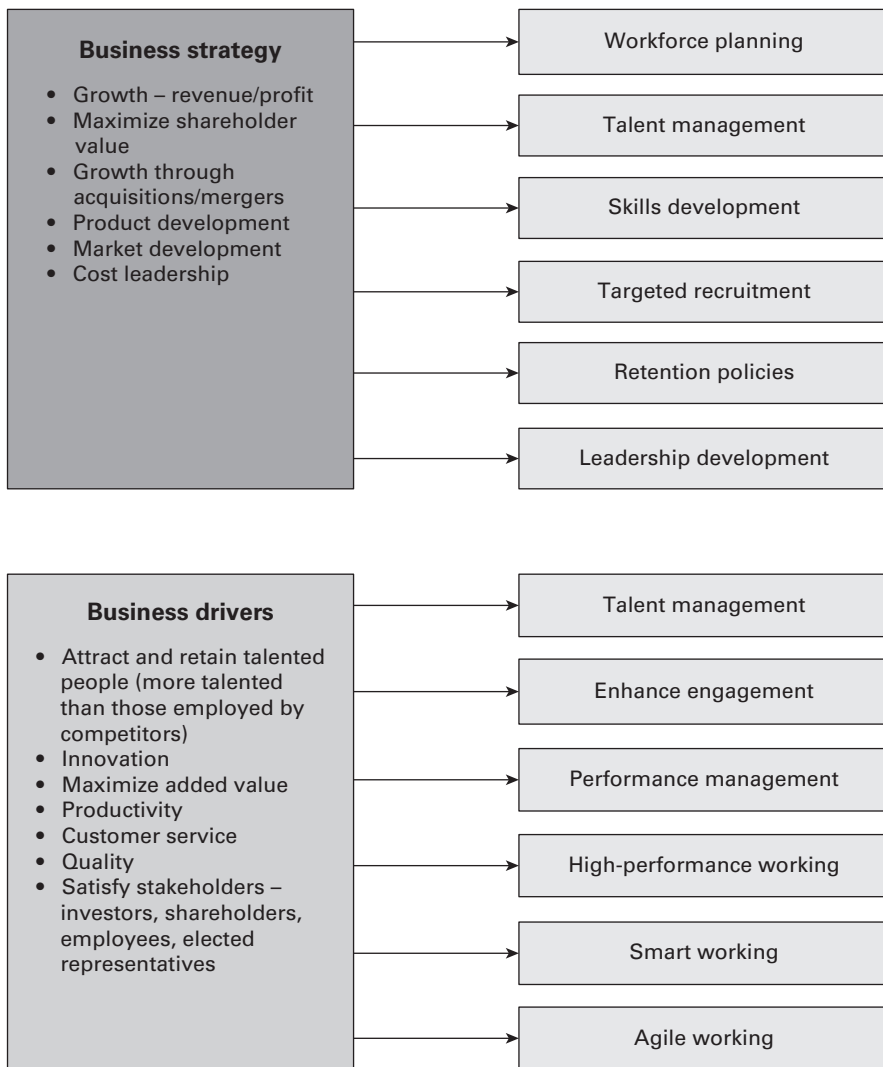
- *Competitive strategy*: innovation, risk taking, concern for results, readiness to assume responsibility. Independent, autonomous behaviour.

Figure 6.1 Linking HR practices to business/corporate strategy

- *Innovation*: creativity, risk taking, independence, flexibility.
- *Quality enhancement*: long-term focus, high concern for process, low-risk approach, commitment to organization's goals.
- *Cost leadership*: short-term focus, high concern for output, primary concern for results, comfort with stability.

Factors to be taken into consideration

Sometimes, the link between an organization's strategy and HR strategy will be quite specific: a business plans to develop a new venture; a public authority

Figure 6.2 HR support to business strategy and business drivers

takes on responsibility for a new service; the organization wants to improve productivity in a particular area of activity. At others, the link may be more generalized: the organization is simply seeking better overall performance in terms of the achievement of organizational goals or productivity. In the former case it may be easier to establish a link than in the latter.

Account should be taken of the fact that strategies for change have also to be integrated with changes in the external and internal environments. Fit may exist at a point in time but circumstances will change and fit no longer exists. An excessive pursuit of 'fit' with the status quo will inhibit the flexibility of approach, which is essential in turbulent conditions. This is the 'temporal' factor in achieving fit identified by Gratton et al (1999). An additional factor that makes the achievement of good vertical fit difficult is that the business strategy may not be clearly defined – it could be in an emergent or evolutionary state. This would mean that there could be little or nothing with which to fit the HR strategy.

Horizontal integration

Horizontal integration or fit takes place when the various HR strategies cohere and are mutually supporting. Thus the sum becomes greater than the parts. The significance of horizontal fit as a means of achieving high employee performance was highlighted by Wright and McMahan (1992) and Macduffie (1995). It can be attained by the process of 'bundling'. This is carried out first by deciding on appropriate HR policies and practices, second by assessing how the items in the bundle can be linked together so that they reinforce one another, and finally by drawing up programmes for the development of these practices, paying particular attention to the links between them.

Dyer and Reeves (1995: 656–7) pointed out that: 'The logic in favour of bundling is straightforward... Since employee performance is a function of both ability and motivation, it makes sense to have practices aimed at enhancing both.' Their study of various models listing HR practices that create a link between HRM and business performance found that the activities appearing in most of the models were involvement, careful selection, extensive training and contingent pay. Richardson and Thompson (1999) concluded that a firm with bundles of associated HR practices should have a higher level of performance, provided it also achieves high levels of fit with its competitive strategy. Research in US automotive assembly plants by MacDuffie (1995) established that innovative HR practices do not affect performance individually but as interrelated elements in an internally consistent HR bundle. He observed that: 'Implicit in the notion of a "bundle" is the idea that practices within bundles are interrelated and internally consistent, and that

“more is better” with respect to the impact on performance, because of the overlapping and mutually reinforcing effect of multiple practices’ (p 197).

Bundling can take place in a number of ways. For example:

- high-performance work systems consisting of practices such as work and job design, skills development, autonomous work teams, total reward, information sharing and involvement;
- talent management programmes that involve targeted recruiting, performance management, career planning and leadership development;
- grade structures that define career ladders in terms of knowledge and skills requirements and thus provide the dual purposes of defining career paths and skill-based pay progression opportunities;
- performance management systems that identify learning and development needs and also inform performance pay decisions.

Perspectives on strategic alignment

Delery and Doty (1996) identified three perspectives that illuminated the notion of strategic alignment:

- 1 *The universalistic perspective* – some HR practices are better than others and all organizations should adopt these best practices. There is a universal relationship between these practices and firm performance.
- 2 *The contingency perspective* – to be effective, an organization’s HR policies must be consistent with the situation in which they are practised – the features and circumstances of the organization.
- 3 *The configurational perspective* – this is a holistic approach that emphasizes the importance of the pattern of HR practices and the greater impact on organizational performance if they are associated with one another. It suggests that an organization must develop HR as a system so that both horizontal and vertical fit can be achieved.

Michie and Sheehan (2005) tested these perspectives on a sample of UK manufacturing and service-sector firms. They found that the relationship between HR policies and practices and performance is dependent upon business strategy (the contingency perspective) and that companies pursuing an integrated approach to HR perform best.

The typology produced by Delery and Doty provided the basis for what has become the most commonly used categorization of approaches, which is to adopt the terms ‘best practice’ and ‘best fit’ for the universalistic and contingency perspectives, and ‘bundling’ for the configurational approach. This follows the classification made by Guest (1997) of fit as an ideal set of practices, fit as contingency and fit as bundles.

Best fit or best practice?

A debate has been going on for some time as to whether best fit is better than best practice when applying the principles of strategic human resource management to the practice of developing HR strategies (strategic alignment). As described by Boxall and Purcell (2016: 47) ‘The best fit school argues that HR strategy will be more effective when it is appropriately integrated with its specific organizational and broader environmental context.’ They also noted that: ‘The other model advocates universalism. It argues that all firms will be better off if they identify and adopt best practice in the way they manage people.’

The best fit approach

The best fit approach proposes that HR strategies should be related to the type, circumstances and context of the organization. It is in line with contingency theory. As Dyer and Holder (1988: 31) observed: ‘The inescapable conclusion is that what is best depends.’

But there are limitations to the concept of best fit. Paauwe (2004: 37) argued that: ‘It is necessary to avoid falling into the trap of contingent determinism, i.e. acting as if the context absolutely determines the strategy. There is, or should be, room for making strategic choices.’

There is a danger of attempting mechanistically to match HR policies and practices with strategy. It is not credible to claim that there are single contextual factors that determine HR strategy, and internal fit cannot therefore be complete. Boxall (2007: 61) contended that: ‘It is clearly impossible to make *all* HR policies reflective of a chosen competitive or economic mission.’

Purcell (1999: 35) referred to the notion of ‘idiosyncratic contingency’, which ‘shows that each firm has to make choices not just on business and

operational strategies but on what type of HR system is best for its purposes'. He warned that:

The search for a contingency or matching model of HRM is also limited by the impossibility of modelling all the contingent variables, the difficulty of showing their interconnection, and the way in which changes in one variable have an impact on others, let alone the need to model idiosyncratic and path dependent contingencies (p 37).

The best practice approach

The best practice or 'universalist' approach is based on the assumption that there is a set of best HRM practices and that adopting them will lead to superior organizational performance. They are universal in the sense that they are best in any situation. The following well-known list of best practices was produced by Pfeffer (1998):

- 1** Employment security
- 2** Selective hiring
- 3** Self-managed teams
- 4** High compensation contingent on performance
- 5** Training to provide a skilled and motivated workforce
- 6** Reduction of status differentials
- 7** Sharing information

The 'best practice' rubric was attacked by Cappelli and Crocker-Hefter (1996: 7) who commented that the notion of a single set of best practices has been overstated: 'There are examples in virtually every industry of highly successful firms that have very distinctive management practices. We argue that these distinctive human resource practices help to create unique competencies that differentiate products and services and, in turn, drive competitiveness.'

In accordance with contingency theory, which emphasizes the importance of interactions between organizations and their environments so that what organizations do is dependent on the context in which they operate, it is difficult to accept that there is any such thing as universal best practice. Boxall and Purcell (2022: 85) argued that: 'Without understanding what management is seeking in a specific context, and how well managers are going about

it, deeming something a best practice in HRM is a very dubious approach.' What works well in one organization will not necessarily work well in another because it may not fit its strategy, culture, management style, technology or working practices. However, a knowledge of what is assumed to be best practice can be used to inform decisions on what practices are most likely to fit the needs of the organization, as long as it is understood *why* a particular practice should be regarded as a best practice and what needs to be done to ensure that it will work in the context of the organization. Perhaps it is best to think of 'good practice' rather than 'best practice'.

Conclusions on the best practice versus best fit debate

It is often claimed that best fit is better than best practice but Stavrou et al (2010: 952) argued differently:

There may be merit in both approaches [best fit and best practice] where the debate is between general principles/bundles (training and development, staffing, compensation and benefits, communication and participation, and planning) and the manner in which they are carried out... It seems that the 'best fit' and 'best practice' approaches of the HR-performance relationship are not necessarily mutually exclusive. On the contrary, they may be combined to provide a more holistic picture.

It can also be argued that there are some HR techniques such as structured interviewing that at least can be regarded as good practice, although how they are used may depend on the circumstances. Certainly, it is no use installing best practice if it does not fit the environment of the organization. Best fit is vital. But best or at least good practice exists in all aspects of HR and should be considered when developing any HR strategy as long as pains are taken to ensure that it will fit into the organization.

PRACTICAL IMPLICATIONS

- Keep pace with developments in the organization's business or corporate strategy.
- Identify the implications for HR strategy of any corporate strategy development that affects the acquisition, development or deployment of people.

- Be prepared to take immediate and effective action on any demand for additional skills arising from the business strategy.
- Advise senior management on any implications for the organization that might affect the corporate strategy, for example local or national skill shortages, the impact of a cost-of-living crisis, how the organization should deal with the human implications of unexpected environmental disruptions such as natural disasters or economic upheavals.
- Adopt a systems thinking approach when considering the formulation of an HR strategy, i.e. analyse how the proposed strategy will interact with other HR strategies in the HR system and what should be done to ensure that they support and complement one another.
- Take care when considering the adoption of a new HR practice that it will fit into the particular circumstances of the organization. Avoid slavishly adopting the latest fad until it is certain that it will work for your organization.

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